

Week 2 — Session 4

Core ERP Modules: Finance, Procurement, and Inventory

Session Opening

`[Camera on, presentation shared]`

Good day, everyone. Before ta magsugod, kindly give me a thumbs-up reaction kung klaro akong audio and makita ninyo ang presentation.

Okay, thank you.

Last session, gi-discuss nato ang technical structure sa ERP—the presentation tier, application tier, data tier, and the different deployment models. Karon, instead nga technical structure ang atong focus, tan-awon nato ang functional side sa ERP.

Inside one ERP system, naa tay different modules. Each module has its own job, pero connected gihapon sila. For today, our focus is on **Finance, Procurement, and Inventory**.

As we go through the lesson, keep this simple question in mind: when a company buys and receives an item, unsaon pag-update sa purchasing records, inventory records, and financial records without entering the same transaction again and again?

Slide 1 — Core ERP Modules: Finance, Procurement, and Inventory

****Stage Direction****

`[Shows Slide 1]`

****Verbatim Teacher Script****

`[Instructor reads the essential slide content]`

“Core ERP Modules: Finance, Procurement, and Inventory—how three foundational modules coordinate money, purchasing, stock, controls, and enterprise data.”

This lesson connects directly to our previous session. Last time, we studied the structure behind an ERP system. Karon, ato nang tan-awon unsay actual nga work nga ginahimo inside that structure.

These three modules have different responsibilities. Procurement manages the purchasing process. Inventory keeps track of the items received, stored, transferred, or issued. Finance records the monetary effect of those activities.

Lahi-lahi sila ug responsibility, pero dili sila separate nga systems. One business event can create updates in several modules.

For example, when an organization buys equipment, Procurement handles the order, Inventory records the items received, and Finance records the amount that must be paid.

****Transition****

Before nato i-discuss ang three modules in detail, let us first check what you should be able to explain after this session.

`[Clicks next slide]`

Slide 2 — Intended Learning Outcomes

****Stage Direction****

`[Shows Slide 2 and reveals the outcomes one at a time]`

****Verbatim Teacher Script****

`[Instructor reads the essential slide content]`

“By the end of this session, you should be able to identify the purpose and core records of the Finance, Procurement, and Inventory modules; describe the functions of the General Ledger, Accounts Payable, and Accounts Receivable; trace connected purchasing, inventory, and financial effects; and explain how integrated modules support decision-making.”

In simple terms, naa tay three main goals.

First, you should know the job of each module. Second, you should be able to follow one transaction and identify which module is affected at every stage. Third, you should understand why the modules need to use the same master data and controls.

Dili kinahanglan nga memorized ninyo word for word ang tanan. Mas importante nga makasabot mo sa flow and sa connection among the modules.

****Transition****

To understand that connection, let us begin with the bigger picture—how different modules work inside one ERP platform.

`[Clicks next slide]`

Slide 3 — Modules Within an Integrated ERP System

****Stage Direction****

`[Shows Slide 3 and points to the Shared ERP Platform at the center]`

****Verbatim Teacher Script****

`[Instructor reads the essential slide content]`

“ERP modules organize specialized work without recreating information silos.”

At the center of the visual, we have the ****Shared ERP Platform****. Around it are Finance, Procurement, and Inventory.

Each module has a specific job. Finance handles monetary records. Procurement handles supplier and purchasing activities. Inventory handles item quantity, location, movement, status, and value.

Pero notice ninyo nga connected sila through the same master data, transaction rules, workflow, security, audit trail, and reporting.

For example, the supplier selected by Procurement should be the same supplier nga makita sa Finance when the invoice is recorded. The item ordered by Procurement should also be the same item nga i-record sa Inventory when the delivery arrives.

So, integration does not mean nga parehas ug work ang tanan modules. It means each module does its own job while using the same trusted records.

****Brief Example****

Imagine nga ang school mopalit ug ten desktop computers. Procurement manages the supplier and purchase order. Inventory records the ten computers received. Finance records how much the school needs to pay.

****Transition****

Since Finance records the monetary side of business activities, let us look first at its three major components.

`[Clicks next slide]`

Slide 4 — Finance Module: GL, AP, and AR

****Stage Direction****

`[Shows Slide 4 and highlights GL, AP, and AR]`

****Verbatim Teacher Script****

`[Instructor reads the essential slide content]`

“The Finance module records, classifies, controls, summarizes, and reports the monetary effects of enterprise operations.”

The slide shows three important parts: ****General Ledger, Accounts Payable, and Accounts Receivable****.

The ****General Ledger****, or GL, is the central accounting record. Diri makita ang accounts, journal entries, balances, accounting periods, and the information used for financial statements.

****Accounts Payable****, or AP, manages the organization’s obligations to suppliers. In simple terms, mao ni ang amount nga kinahanglan bayaran sa organization ngadto sa supplier.

****Accounts Receivable****, or AR, manages the amounts that customers owe to the organization. Mao ni ang customer invoices, collections, aging, and unpaid balances.

These are not three unrelated records. AP and AR contain detailed information about suppliers and customers. Those details eventually affect the General Ledger through journal postings.

And remember: Finance does not work only at the end of the month. In an integrated ERP system, financial effects can be recorded as authorized business events happen.

****Brief Example****

When the supplier invoice for the computers is accepted, Accounts Payable records the amount due. A related journal entry then updates the proper General Ledger accounts.

****Transition****

Now that clear na ang difference among GL, AP, and AR, let us follow how an ordinary business event becomes part of the financial records.

`[Clicks next slide]`

Slide 5 — Finance Data Flow and Internal Control

****Stage Direction****

`[Shows Slide 5 and moves the cursor from left to right]`

****Verbatim Teacher Script****

`[Instructor reads the essential slide content]`

“Subledgers feed the General Ledger through controlled posting.”

Let us follow the flow.

First, naa tay ****operational event****. This can be a purchase, receipt, sale, payment, adjustment, or allocation.

Second, that event creates a ****subledger record****. A supplier invoice, for example, creates a detailed Accounts Payable record for that supplier.

Third, the ERP creates a ****journal posting****. It identifies the correct account, amount, date, reference, cost center, and other control information.

Finally, the entry reaches the ****General Ledger****, where balances are combined for financial reporting.

The controls below the flow help protect the records.

****Approval**** means authorized users review and release important transactions. ****Period control**** checks whether the accounting period is open or closed. ****Reconciliation**** compares detailed records with control accounts and supporting documents. The ****audit trail**** shows who performed the action, what changed, and when it happened.

So, dili enough nga naa lang amount sa system. The system should also show where the amount came from, who approved it, and which transaction supports it.

****Quick Understanding Check****

Which happens first: the operational event or the General Ledger posting?

`[Pauses briefly]`

Correct—the operational event happens first. The financial posting is the result of that authorized activity.

****Transition****

Many operational events start with purchasing. So next, tan-awon nato how Procurement controls the process from a business need to an approved purchase.

`[Clicks next slide]`

Slide 6 — Procurement Module: Purpose and Functions

****Stage Direction****

`[Shows Slide 6 and points to the definition]`

****Verbatim Teacher Script****

`[Instructor reads the essential slide content]`

“The Procurement module manages supplier information, purchasing requests, approvals, purchase orders, receipts, invoice matching, and purchasing performance data.”

The main job of Procurement is to control how an organizational need becomes an authorized purchase.

It begins with ****supplier management****. The system keeps approved supplier records, contacts, terms, status, and performance information.

Next is ****purchase authorization****. The request goes through the required review, budget checking, and approval.

Once approved, the system creates a ****purchase order****. This is the formal document that states what will be purchased, how many, the price, the supplier, and the delivery details.

After the items arrive, ****receipt coordination**** compares the delivery with the purchase order. Then ****invoice matching**** checks the purchase order, receipt, and supplier invoice before payment is approved.

Procurement also provides ****purchasing visibility****. Managers can check order status, delivery delays, commitments, exceptions, and supplier performance.

Notice nga connected ang functions. Dili ni sila random nga list. Each step provides the information and control needed by the next step.

****Transition****

The easiest way to understand Procurement is to follow the actual document flow from the initial need up to payment.

`[Clicks next slide]`

Slide 7 — Procurement Process and Document Flow

****Stage Direction****

`[Shows Slide 7 and reveals each step gradually]`

****Verbatim Teacher Script****

`[Instructor reads the essential slide content]`

“Each document changes the organization’s level of commitment and control.”

The process begins with a ****requirement****. This means the department has identified something it needs.

Next is the ****purchase requisition****. This is an internal request asking for review, sourcing, and approval. At this stage, wala pa nag-order officially from the supplier.

Once the request is approved, Procurement creates the ****purchase order****. This is already a controlled commitment to the supplier.

Remember the difference: the purchase requisition asks permission to buy. The purchase order officially tells the supplier what the organization is buying.

When the delivery arrives, the ****receipt**** confirms the quantity, condition, location, and acceptance of the goods.

The supplier then sends the ****invoice****. After matching and approval, Finance records the obligation. Finally, ****payment**** settles the amount due.

As we move through the process, mas nagka-strong ang commitment sa organization. Each document also provides proof of what happened.

****Brief Example****

For the computers, the department submits a requisition. Procurement issues the purchase order. The school receives the units, accepts the invoice, and then processes the payment.

****Transition****

But remember, creating a receipt does not mean Procurement will maintain the complete stock record. Once the items arrive, Inventory becomes responsible for tracking their quantity, location, and movement.

`[Clicks next slide]`

Slide 8 — Inventory Module: Purpose and Functions

****Stage Direction****

`[Shows Slide 8 and highlights the definition]`

****Verbatim Teacher Script****

`[Instructor reads the essential slide content]`

“The Inventory module records and controls items as they are received, stored, transferred, reserved, issued, counted, adjusted, and valued.”

Inventory starts with the ****item master****. This tells the system exactly what the item is—its code, description, unit of measure, classification, and control settings.

The ****location structure**** tells us where the item is stored, such as a warehouse, branch, storage room, or bin.

The ****quantity status**** gives more detail about the stock. An item may be on hand, available, reserved, in transit, blocked, or still under inspection.

****Stock movement**** records what happened to the item. Was it received, transferred, issued, returned, or adjusted?

****Valuation**** connects the physical quantity to its financial value. ****Replenishment**** helps the organization decide when additional stock may be needed.

So, saying “naa tay ten units” is not enough. We also need to know: What item? Asa siya located? Available ba siya? How did it get there? And what is its value?

****Transition****

For Inventory information to be trusted, the item identity, location, movement, and physical count should all agree.

`[Clicks next slide]`

Slide 9 — Inventory Records, Movements, and Control

****Stage Direction****

`[Shows Slide 9 and moves the cursor through the four layers]`

****Verbatim Teacher Script****

`[Instructor reads the essential slide content]`

“Reliable stock information requires aligned records, movements, and verification.”

The first part is ****Identity****. The item code, description, unit of measure, and classification should clearly identify the item. This helps prevent duplicate or confusing records.

Second is ****Location****. The ERP should show which warehouse, branch, storage area, or bin holds the stock. It should also show whether the stock can already be used.

Third is **Movement**. Every receipt, transfer, issue, return, reservation, or adjustment should have a date, user, and reference document.

Fourth is **Verification**. Physical counts, cycle counts, reconciliation, approval, and exception checking confirm whether the system quantity matches the actual items.

For example, if the ERP shows ten computers but only nine are physically present, dili dapat diretso lang usbon ang system quantity. The difference should be checked, explained, documented, and approved.

Mao ni ang point: trusted inventory information comes from proper records plus actual physical checking.

Transition

Now that we understand the three modules separately, let us connect them using the same purchasing transaction.

`[Clicks next slide]`

Slide 10 — Procurement–Inventory–Finance Integration

Stage Direction

`[Shows Slide 10, enlarges the visual, and points from left to right]`

Verbatim Teacher Script

`[Instructor reads the essential slide content]`

“A purchasing event becomes inventory and financial information.”

On the left, we have **Procurement**. It manages the supplier record and the authorized purchasing documents.

In the middle, we have ****Inventory****. It records the quantity, location, status, receipt, and later movement of the items.

On the right, we have ****Finance****. It records Accounts Payable, inventory value, General Ledger effects, and reporting information.

Let us continue the same computer example. Procurement has already created and approved the purchase. When the ten computers arrive, Inventory records ten units in the correct location. Finance then records the value of the computers and the amount owed to the supplier.

Notice also that information can move back and forth. Inventory can report a shortage or damaged delivery to Procurement. Finance provides the account and posting information needed for the transaction.

Separate ang responsibility sa modules, pero synchronized ang records because they share the same references.

****Quick Understanding Check****

Which module records the quantity physically received?

`[Pauses briefly]`

Correct—Inventory.

Which module records the amount owed to the supplier?

Correct—Finance, under Accounts Payable.

****Transition****

This connection works properly only when all modules use the same supplier, item, organizational unit, account, and user records.

`[Closes the enlarged visual and clicks next slide]`

Slide 11 — Shared Master Data Across Modules

****Stage Direction****

`[Shows Slide 11 and highlights the first column of the table]`

****Verbatim Teacher Script****

`[Instructor reads the essential slide content]`

“Integration depends on common reference records.”

We will not read every cell one by one. Instead, take a look at how one record is used by several modules.

The ****Supplier**** record is used by Procurement for purchasing information, by Inventory as the source of the delivery, and by Finance for the payable and payment terms.

The ****Item**** record is used by Procurement to identify what is being ordered, by Inventory to track quantity and movement, and by Finance for valuation and account treatment.

The ****Organizational Unit**** may identify the requester, buyer, warehouse, branch, cost center, or reporting unit.

The ****Account and Classification**** records connect spending categories, inventory categories, valuation rules, and General Ledger accounts.

The ****User and Role**** records determine who is allowed to request, approve, order, receive, move, adjust, post, reconcile, or pay.

So even when the software is technically connected, problems can still happen with duplicate or inconsistent master data.

****Brief Example****

Suppose the same supplier appears as “Mindanao Office Supply,” “MOS Trading,” and “Mindanao Office Supplies Inc.” The system may treat them as different suppliers, so the purchasing history and payable balances become divided.

****Transition****

Because the modules use shared records, one approved business event can update several parts of the ERP at the same time.

`[Clicks next slide]`

Slide 12 — Cross-Module Event Matrix****Stage Direction****

`[Shows Slide 12 and points to the major event rows]`

****Verbatim Teacher Script****

`[Instructor reads the essential slide content]`

“One authorized event can update several records at once.”

Let us focus on the main events instead of reading every table cell.

When a ****purchase order is approved****, Procurement activates the commitment. Inventory may show an expected delivery, while Finance may update budget or commitment information.

When **goods are received**, Procurement updates the delivered quantity. Inventory increases the stock quantity and records the location. Finance may recognize inventory value and an interim liability, depending on the system configuration.

When the **supplier invoice is accepted**, Procurement confirms that the purchase order, receipt, and invoice agree. Finance then records the Accounts Payable liability.

When **payment is released**, Inventory normally has no physical quantity change. Finance reduces cash and clears the supplier payable.

When an **inventory adjustment is approved**, there is no new purchase order. Inventory changes the recorded quantity, while Finance may record the related valuation difference.

So not every event affects every module in exactly the same way. Depende kung unsa ang nag-change—commitment, quantity, liability, cash, or value.

Transition

This kind of integration is useful, pero naa pud possible problems if the data, timing, permissions, or configuration are not properly controlled.

`[Clicks next slide]`

Slide 13 — Module Integration Challenges and Controls

Stage Direction

`[Shows Slide 13 and groups the related challenges]`

Verbatim Teacher Script

`[Instructor reads the essential slide content]`

“Module integration requires disciplined data, timing, authorization, and reconciliation.”

The first challenge is ****duplicate master records****. If one supplier or item has several codes, the history and balances may become divided.

Second is ****timing differences****. For example, the items may already be physically received, pero wala pa na-enter ang receipt sa ERP. During that time, the physical situation and system record do not match.

Third is ****authorization gaps****. If one person can request, approve, receive, and release payment without proper checking, the control becomes weak.

Fourth is ****valuation errors****. Wrong units, costs, accounts, or movement types can affect both the inventory value and the financial records.

Fifth is ****unresolved exceptions****. Quantity, price, receipt, or invoice differences should have a clear owner. Dili pwede nga magpabilin lang ang issue without action.

Finally, ****configuration drift**** happens when posting rules, workflow, or master-data settings are changed without proper control.

These problems can connect to one another. A duplicate item code, for example, can cause the receipt to be posted under one item while the invoice uses another. That creates both a matching issue and a reconciliation issue.

****Transition****

The best way to understand the value of these controls is to see Finance, Procurement, and Inventory as parts of one complete operational process.

`[Clicks next slide]`

Slide 14 — Finance, Procurement, and Inventory as One System

****Stage Direction****

`[Shows Slide 14 and follows the process from left to right]`

****Verbatim Teacher Script****

`[Instructor reads the essential slide content]`

“Finance, Procurement, and Inventory form a controlled operational loop.”

The loop begins with ****Plan and authorize****. The organization identifies the need, checks the budget and policy, selects the supplier, and gets approval.

Next is ****Acquire and receive****. Procurement issues the order, the supplier delivers, and Inventory confirms the quantity, condition, and location.

Then comes ****Record and settle****. Finance records the value and supplier obligation, processes the payment, and updates the General Ledger.

The last part is ****Monitor and improve****. Managers review spending, stock availability, supplier performance, exceptions, and other information before making decisions.

The slide also shows four supporting areas: ****people and roles, integrated processes, shared data, and policies and controls****.

This reminds us that ERP integration is not only about software. The users should follow the correct process. The data should be accurate. The roles should be clear. The controls should be applied properly.

The three modules give real value when they support one business process—not when each department works only inside its own module.

****Transition****

Let us finish by reviewing the main job of each module and the one idea that connects all three.

`[Clicks next slide]`

Slide 15 — Lesson Summary

****Stage Direction****

`[Shows Slide 15 and pauses briefly]`

****Verbatim Teacher Script****

`[Instructor reads the essential slide content]`

“Session 4 key concepts.”

Let us summarize without repeating the full discussion.

****Finance**** records and controls the monetary effect of business activities through the General Ledger, Accounts Payable, Accounts Receivable, and related financial controls.

****Procurement**** controls how an organizational need becomes an approved purchase through supplier management, requisitions, purchase orders, receipts, matching, and purchasing visibility.

****Inventory**** maintains trusted information about items, location, quantity, status, movement, physical verification, and value.

Different and many responsibilities, but connected since through shared master data and controlled transactions.

Because of that connection, the organization can see what was ordered, what was received, what is available, how much is owed, and whether payment has already been completed.

That shared visibility supports better decisions and clearer accountability.

Session Closing

`[Returns to the full slide view and checks the participant panel]`

Before ta mag-end, let us answer the question from the beginning of the session.

When an organization makes one purchase, Procurement controls and documents the order. Inventory records what was physically received and where it is stored. Finance records the value, the amount owed to the supplier, the payment, and the General Ledger effect.

So, our main takeaway is this:

****ERP modules have different jobs, but shared data and connected business events allow them to work as one system.****

Klaro ra ang overall flow? Naa moy question about the difference among Procurement, Inventory, and Finance?

`[Pauses briefly for questions]`

Okay, thank you, everyone. That concludes Week 2, Session 4.